

Week 2 – Stock Market Fundamentals & Financial Statement Analysis

Prepared by Piyush Sawriya | Data Analyst Internship (FinTech) – 2 Week Prerequisite | 18 August 2026

1. Stock Market Fundamentals

Stock market: A financial marketplace where buyers and sellers trade shares and other securities. The primary market handles new issues; the secondary market handles trading of existing securities.

NSE & BSE: Major Indian stock exchanges where listed securities are traded.

Nifty 50 & Sensex: Nifty 50 represents 50 major NSE-listed companies; S&P; BSE Sensex represents 30 major BSE companies. Both are broad market indicators.

IPO / SME IPO: An IPO is a public issue of shares by a company. An SME IPO is an issue by an eligible small/medium enterprise under the SME framework.

Market capitalization: Share price × outstanding shares; it indicates the market value of equity.

P/E: Share price ÷ EPS. It compares a company's market price with its earnings per share.

P/B: Market price per share ÷ book value per share. It compares market valuation with accounting net assets.

EPS: Earnings attributable to equity shareholders ÷ weighted average shares.

Dividend: A distribution of part of company profits to shareholders, subject to approval and applicable rules.

Bonus / stock split: Bonus issues give additional shares; a split divides existing shares into more shares at a lower face value.

Trading volume: Number of securities traded during a period; it indicates market activity and liquidity.

2. Financial Statements

Balance Sheet: Assets, liabilities and equity at a point in time.

Profit & Loss: Revenue, expenses and profit/loss over a period.

Cash Flow Statement: Cash movements from operating, investing and financing activities.

Basic ratios: Profit margin, ROE, debt/equity, interest coverage and liquidity ratios help evaluate profitability, leverage and financial strength.

3. Listed Company Analysis – Reliance Industries Limited

Company: Reliance Industries Limited (RIL), a diversified Indian listed company operating across Oil-to-Chemicals, Digital Services, Retail, Media & Entertainment, and Oil & Gas.

Period: FY2025–26, year ended 31 March 2026. Consolidated figures unless stated otherwise.

Indicator	FY25	FY26	Change
Revenue (₹ cr)	10,71,174	11,75,919	+9.8%
EBITDA (₹ cr)	1,83,422	2,07,911	+13.4%
PAT (₹ cr)	81,309	95,754	+17.8%
EPS (₹)	51.5	59.7	Higher
Net profit margin	7.6%	8.1%	Improved
Net worth (₹ cr)	7,95,069	8,67,828	Higher
Total assets (₹ cr)	19,50,121	21,78,140	Higher

Profitability: Revenue rose 9.8%, while PAT rose 17.8%, showing faster profit growth. EBITDA increased 13.4%.

Margins: Net profit margin improved from 7.6% to about 8.1%, indicating better profit conversion.

Balance sheet: Net worth rose to ₹8,67,828 crore and total assets to ₹21,78,140 crore.

Cash flow: Operating cash flow increased to ₹1,92,113 crore from ₹1,78,703 crore, showing strong operating cash generation.

Investment: FY26 capital expenditure was ₹1,44,271 crore, supporting O2C, New Energy, Digital Services and Retail growth.

Leverage: Consolidated gross debt was ₹3,74,421 crore and net debt ₹1,24,717 crore at 31 March 2026. RIL reported improved interest coverage and return on net worth.

Conclusion: FY26 indicates strong revenue and profit growth, improved margins and operating cash generation, alongside substantial capital investment. Because RIL is diversified, analysts should assess both consolidated results and individual business segments.

Sources

SEBI Investor Education: Securities Market and Market Indices. Reliance Industries Ltd.: FY2025–26 Integrated Annual Report, Financial Performance & Review and Consolidated Cash Flow Statement. Accessed 18 August 2026.

Educational analysis only; not investment or trading advice.